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ESG shareholder engagement and firm value: evidence from Korea National Pension Service

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ABSTRACT

As ESG issues are increasingly viewed as financially material, ESG shareholder engagement has become an important channel through which institutional investors seek to influence corporate behaviour and enhance firm value. This study investigates whether ESG engagement by influential institutional investors affects firm value and how corporate governance moderates this relationship. Using 3104 firm-year observations of Korean listed firms from 2020 to 2023, we conduct fixed-effects panel regressions to analyse the valuation effects of ESG shareholder engagement. We find consistent evidence that ESG engagement by influential institutional investors enhances firm value. Specifically, disclosures by the National Pension Service (NPS) – the largest and most influential institutional investor in Korea – of its intention to engage firms on ESG issues are associated with a significant increase in firm value in the following year. Furthermore, this positive association is significantly moderated by corporate governance quality, that is, stronger for firms with weaker internal governance structures. These results indicate that ESG shareholder engagement operates as a substitute external governance mechanism, mitigating deficiencies in internal governance and contributing to firm value creation. Overall, the study highlights the value relevance of investor-driven ESG engagement and underscores the importance of governance context in shaping its effectiveness.

KEYWORDS

ESG shareholder engagement; shareholder activism; corporate governance; firm value

JEL CLASSIFICATION

G32; G34

I. Introduction

Environmental, Social, and Governance (ESG) considerations have become a central component of corporate strategy and investment decision-making, rather than a niche or purely ethical concern. A rapidly expanding body of empirical research demonstrates that ESG issues are financially material and increasingly incorporated into investment, monitoring, and stewardship decisions by institutional investors (Atz et al. 2023; Dimson, Karakas, and Li 2015; Friede, Busch, and Bassen 2015). As of March 2024, 4827 institutions had signed the Principles for Responsible Investment (PRI), representing US\$128.4 trillion in assets under management, underscoring the growing role of ESG in global capital markets. Consistent with this trend, McCahery, Sautner, and Starks (2016) report that 63% of institutional investors have directly engaged with corporate management on strategic and policy issues, including ESG, over the preceding five years.

A large and rapidly expanding literature has examined the relationship between ESG performance and firm value. Early studies often viewed ESG activities as a cost that could undermine shareholder value by diverting resources away from profit maximization (Friedman 2007; Vance 1975). More recent research, however, increasingly characterizes ESG as a strategic investment that enhances long-term competitiveness, improves access to capital, and strengthens corporate reputation (Fatemi and Fooladi 2013; Fatemi, Glaum, and Kaiser 2018). Empirical evidence suggests that ESG performance affects firm value through multiple channels, including reduced information asymmetry, lower cost of capital, enhanced investor trust, and improved risk management (Fatemi, Fooladi, and Tehranian 2015).

Event-based studies further highlight the risk-mitigating role of ESG. Using ESG-related news events, Krüger (2015) shows that while positive ESG events generate limited market reactions, negative ESG events trigger significant stock price

declines, indicating that investors are particularly sensitive to ESG-related downside risks. This finding suggests that ESG activities may function as an insurance mechanism, protecting firm value by reducing exposure to reputational, regulatory, and litigation risks. Recent evidence confirms that the valuation effects of ESG performance extend beyond developed markets. Aydoğmuş, Gülay, and Ergun (2022), for example, document a positive relationship between ESG performance, profitability, and firm value among firms in an emerging market context, underscoring the global relevance of ESG as a value-enhancing strategy.

Comprehensive review and meta-analytic studies further support the positive role of ESG performance while emphasizing its context-dependent nature. Friede, Busch, and Bassen (2015), synthesizing more than 2200 empirical studies, find that approximately 90% report a non-negative relationship between ESG and financial performance. More recently, Atz et al. (2023) review over 1400 studies published since 2015 and conduct a meta-analysis of 142 papers, concluding that ESG performance contributes to long-term firm value through improved risk management, lower financing costs, and stronger investor confidence. At the same time, recent meta-analyses highlight substantial heterogeneity across countries and institutional environments. Bai and Kim (2024) show that the ESG – firm performance relationship is more consistently positive in Korean and Chinese studies than in English-language studies, suggesting that institutional and governance contexts play a critical role in shaping ESG outcomes.

Despite this growing consensus on the importance of ESG performance, far less is known about the role of investors in actively shaping firms' ESG practices and the valuation effects of such engagement. In contrast to the extensive literature on ESG outcomes, relatively few studies examine ESG shareholder engagement itself as a distinct governance mechanism. A growing strand of research emphasizes that ESG shareholder engagement is not random but depends on several economic and institutional factors, including the financial materiality of ESG issues, investors' ownership stakes and influence, engagement costs, and investment horizons (Barko, Cremers, and Renneboog 2022; Dimson, Karakas, and Li 2015). In particular, long-

term institutional investors such as pension funds have strong incentives to engage with firms on ESG issues to mitigate downside risks and protect long-term portfolio value (Brav et al. 2008; Hoepner et al. 2024; Semenova and Hassel 2019; Starks, Venkat, and Zhu 2017).

Importantly, several seminal and recent studies provide direct evidence that investors' ESG engagement can influence firm value. Dimson, Karakas, and Li (2015) show that successful ESG engagements are associated with positive abnormal returns and improvements in operating performance. Barko, Cremers, and Renneboog (2022) document that firms targeted by ESG engagement experience significant improvements in ESG performance and generate excess returns relative to non-target firms. More recently, Bauer, Derwall, and Tissen (2023) and Hoepner et al. (2024) demonstrate that ESG engagement on financially material issues enhances profitability, reduces downside risk, and contributes to long-term firm value. These studies suggest that ESG shareholder engagement can create value through economically meaningful channels rather than merely reflecting ethical preferences.

Despite these advances, existing studies largely focus on engagement outcomes in developed Western markets and primarily examine average effects, paying limited attention to how internal corporate governance conditions shape the effectiveness of ESG shareholder engagement. As a result, it remains unclear whether ESG engagement complements strong internal governance structures or instead functions as a substitute mechanism when internal governance is weak. Moreover, empirical evidence from markets characterized by a dominant institutional investor remains scarce, limiting our understanding of how investor influence and governance context jointly determine the value effects of ESG engagement.

Korea provides a unique institutional setting to address these unresolved issues. The Korean Stewardship Code, enacted in December 2016, was designed to promote active ownership by institutional investors. In 2018, the National Pension Service (NPS)-one of the world's largest public pension funds – adopted the Stewardship Code and subsequently expanded its ESG shareholder

engagement activities. Although most NPS engagements are conducted privately, a regulatory reform to the Financial Investment Services and Capital Markets Act in 2020 introduced a new disclosure requirement. Large shareholders holding more than 5% of a firm's shares must now disclose changes in their investment purpose, including a shift to 'general investment', which explicitly permits active shareholder engagement. This reform provides a rare opportunity to observe the timing and targets of ESG shareholder engagement in an otherwise opaque setting.

To the best of our knowledge, no prior study has empirically examined the effect of ESG shareholder engagement on firm value using a comprehensive panel dataset in the Korean capital market while explicitly accounting for the role of corporate governance as a conditioning factor. Addressing this gap, this study investigates whether ESG shareholder engagement by an influential institutional investor enhances firm value and whether this effect depends on firms' internal corporate governance quality.

Accordingly, this study addresses the following research questions.

First, does ESG shareholder engagement by an influential institutional investor enhance firm value in the Korean capital market?

Second, does the effect of ESG shareholder engagement on firm value depend on firms' internal corporate governance quality?

Drawing on stakeholder theory, we argue that ESG shareholder engagement can influence managerial decision-making by increasing managerial attention to ESG-related risks and stakeholder expectations, thereby contributing to firm value creation. Using panel data on 3104 firm-year observations from Korean listed companies on the KOSPI and KOSDAQ between 2020 and 2023, we employ fixed-effects OLS regressions to examine the relationship between NPS ESG shareholder engagement and firm value, measured by the book-to-market ratio.

This study contributes to theory in several important ways. First, by focusing on ESG shareholder engagement rather than ESG performance, this study extends stakeholder theory by highlighting the role of institutional investors as active governance agents who shape managerial attention to

stakeholder-related risks. Second, we contribute to the corporate governance literature by demonstrating that ESG shareholder engagement functions as a substitute external governance mechanism, particularly when internal governance structures are weak. Third, by providing evidence from a market dominated by a single influential public pension fund, this study enriches institutional perspectives on stakeholder theory and clarifies how investor influence and governance context jointly determine the value effects of ESG engagement.

The remainder of this paper is organized as follows. [Section II](#) reviews the related literature and develops the hypotheses. [Section III](#) presents the data, variables, and methodology. [Section IV](#) reports the empirical results, and [Section V](#) concludes with a discussion of the findings and their implications.

II. Literature review and hypothesis development

Review of previous studies

A growing body of literature examines ESG shareholder engagement as a distinct form of investor activism through which institutional investors seek to influence firms' environmental, social, and governance practices. Prior studies document that institutional investors engage firms on ESG issues through private dialogues, voting, and shareholder proposals, particularly when ESG issues are financially material and investors possess sufficient ownership stakes and influence (Barko, Cremers, and Renneboog 2022; Dimson, Karakas, and Li 2015).

Empirical evidence suggests that ESG shareholder engagement can lead to improvements in firms' ESG performance. For example, Akey and Appel (2019) and Naaraayanan, Sachdeva, and Sharma (2021) show that institutional investor engagement reduces environmental emissions of target firms. Barko, Cremers, and Renneboog (2022) and Bauer, Derwall, and Tissen (2023) further document that ESG engagement is associated with improvements in ESG ratings and reductions in greenhouse gas emissions. These findings indicate that institutional investors can actively shape firms' ESG practices rather than merely selecting firms with strong ESG performance.

Another extensive strand of literature investigates the relationship between ESG performance and firm value. While early studies viewed ESG activities as a cost that could reduce shareholder value (Friedman 2007; Vance 1975), more recent research suggests that ESG performance can enhance firm value through improved risk management, stakeholder trust, and access to capital (Fatemi and Fooladi 2013; Fatemi, Glaum, and Kaiser 2018).

Event-based studies show that negative ESG events lead to significant stock price declines, whereas positive ESG events generate limited upside, highlighting the insurance-like role of ESG in mitigating downside risk (Krüger 2015). Meta-analytic evidence further supports a generally positive association between ESG performance and financial performance, albeit with substantial heterogeneity across institutional contexts (Atz et al. 2023; Bai and Kim 2024; Friede, Busch, and Bassen 2015).

More recent studies directly examine the relationship between ESG shareholder engagement and firm value. Dimson, Karakas, and Li (2015) provide seminal evidence that successful ESG engagements generate positive abnormal returns and improvements in operating performance. Barko, Cremers, and Renneboog (2022) and Bauer, Derwall, and Tissen (2023) find that firms targeted by ESG engagement experience excess stock returns and improved profitability. Hoepner et al. (2024) further show that ESG engagement reduces downside risk, suggesting that engagement can enhance firm value through both return enhancement and risk mitigation.

Despite these findings, most existing studies focus on developed Western markets and primarily

estimate average effects, leaving open questions regarding the conditions under which ESG shareholder engagement is most effective.

Prior literature suggests that ESG shareholder engagement may influence firm value through multiple interrelated channels, as illustrated in Figure 1. First, engagement can improve firms' ESG performance by encouraging better management of environmental and social risks and governance practices. Improved ESG performance, in turn, can enhance operational performance through higher customer loyalty, improved employee productivity, and more efficient resource allocation (Albuquerque, Koskinen, and Zhang 2019; Edmans 2011, 2012).

Second, ESG shareholder engagement may affect firm value through market-based channels. By signalling improved ESG management and reduced risk exposure, engagement can increase investor demand and lower perceived risk, leading to higher stock prices and reduced downside risk (Hoepner et al. 2024; Lins, Servaes, and Tamayo 2017). Together, these operational and market channels suggest a positive link between ESG shareholder engagement and firm value.

Theoretical framework and hypothesis development

This study draws on stakeholder theory to develop hypotheses regarding the relationship between ESG shareholder engagement and firm value. Stakeholder theory posits that firms create value by managing relationships with stakeholders who provide critical resources, including customers, employees, investors, and regulators (Freeman 1984). From the managerial perspective of

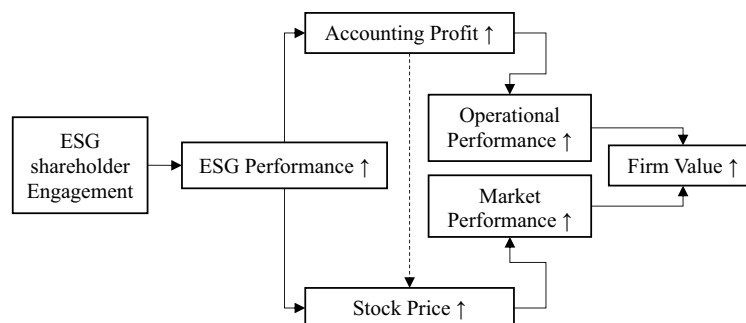


Figure 1. Mechanism of ESG shareholder engagement on firm value.

stakeholder theory, firms are expected to prioritize stakeholders who control key resources essential for long-term value creation (Fernando and Lawrence 2014).

From this perspective, ESG shareholder engagement by institutional investors can be viewed as an external governance mechanism that increases managerial attention to stakeholder-related risks and expectations. By engaging firms on ESG issues, institutional investors can encourage managers to adopt strategies that enhance long-term value by mitigating risks and strengthening stakeholder relationships.

Pro arguments suggest that ESG shareholder engagement enhances firm value. Engagement can improve ESG performance, reduce regulatory and reputational risks, and strengthen relationships with customers and employees, thereby improving operational performance and market valuation (Barko, Cremers, and Renneboog 2022; Baron 2008; Dimson, Karakas, and Li 2015).

Contra arguments, however, caution that ESG shareholder engagement may not always create value. Engagement can impose compliance costs, divert managerial attention from core business activities, or lead to symbolic ESG actions without substantive improvements. Moreover, powerful institutional investors may pursue ESG agendas that reflect their own preferences rather than value-maximizing objectives, potentially leading to managerial entrenchment or inefficient resource allocation (Bénabou and Tirole 2006; Krüger 2015).

Given these competing arguments, the net effect of ESG shareholder engagement on firm value remains an empirical question that requires careful investigation.

Based on the above discussion, we propose the following hypothesis:

Hypothesis 1 (H1): ESG shareholder engagement by institutional investors is associated with firm value.

Corporate governance, in principle, addresses the relationships and structures among the board of directors, shareholders, and executives to mitigate agency problems arising from the separation of ownership and control (Berle and Means 2017). By implementing corporate governance

mechanisms – such as executive compensation packages and board oversight – firms can align managerial and shareholder interests while reducing agency costs (Daily, Dalton, and Cannella 2003). In recent years, the scope of corporate governance has expanded to encompass the rights and responsibilities of various stakeholders that influence corporate decision-making (Aoki 2001).

Effective corporate governance can enhance not only shareholder value but also the interests of other stakeholders (Brickley and Zimmerman 2010). Fuenzalida et al. (2013) emphasized that good corporate governance attracts capital, ensures the proper management of firms, protects the rights of investors and other stakeholders, builds trust in financial markets, and enhances competitiveness.

Research has explored the impact of corporate governance on ESG performance, with many studies highlighting a positive relationship. Compensation packages linked to long-term firm value can incentivize executives to enhance firm value through ESG management (Conyon 2006). Cassely et al. (2020) found that firms with strong corporate governance are more likely to implement effective ESG strategies, improving ESG performance and creating shareholder value. Nirino et al. (2022) emphasized the importance of board decisions in achieving ESG goals and noted that ESG issues could harm a firm's reputation and market share. According to Ingley and Van Der Walt (2004), as the need for institutional investors to monitor corporate governance has been increasingly emphasized, they are expected to take an active role in influencing their portfolio firms on behalf of their stakeholders. Institutional investors have incentives to oversee and influence investee companies' internal governance structures to reduce agency costs and protect shareholder value. From the perspective that institutional investors constitute an external corporate governance mechanism, they can serve as a complement to internal governance structures (McCahery, Sautner, and Starks 2016).

As discussed above, prior studies suggest that ESG shareholder engagement can influence firms' operational and market outcomes through improved ESG management and risk mitigation. However, these effects are unlikely to be uniform

across firms and may critically depend on internal governance conditions. This heterogeneity motivates our focus on corporate governance as a key moderating factor in the relationship between ESG shareholder engagement and firm value. When corporate governance quality is weak, external pressure from institutional investors may play a more significant role in aligning managerial actions with stakeholder interests. In contrast, when governance quality is strong, the marginal impact of external engagement may be limited.

Accordingly, we propose the following hypothesis:

Hypothesis 2 (H2): The relationship between ESG shareholder engagement and firm value is stronger when corporate governance quality is lower.

The hypotheses to be empirically tested in this study are summarized in [Figure 2](#).

III. Data and methodology

Sample and data

This study aims, first, to analyse the impact of institutional investors' ESG shareholder engagement on firm value, and second, to examine how corporate governance influences the relationship between ESG shareholder engagement and firm value. To achieve this, the study selected manufacturing firms listed on the KOSPI and KOSDAQ, which closed their financial year at the end of December, from 2020 to 2023, as the research sample. Consistent with prior studies, firms in the financial sector are excluded due to their distinct regulatory environment and accounting practices, which may confound comparisons of firm value and financial performance (Benlemlih, Jaballah, and Peillex 2018; Lins, Servaes, and Tamayo 2017). Firms with fiscal year-ends other than December are also excluded to ensure

comparability of financial statements and to mitigate potential seasonality effects (Choi and Park 2019; Watanabe et al. 2013). Furthermore, firms lacking corporate governance and financial data were excluded, resulting in a final sample of 3104 firm-year observations.

Engagement data

To reap the benefits of effective engagement, institutional investors' ESG shareholder engagement is typically conducted privately, limiting access to information about which companies, when, and on what issues they engage in (Bauer, Clark, and Viehs 2013; Gifford 2010; Gillan and Starks 2003; Logsdon and Van Buren 2009).

In February 2020, the 'Enforcement Decree of the Financial Investment Services and Capital Markets Act' in South Korea was amended, introducing a reform to the large shareholder reporting system. This reform has facilitated the partial acquisition of data on the timing and target companies of institutional investors' ESG shareholder engagement.

This system requires investors who are holding more than 5% of a listed company's shares to disclose their holdings status and the objectives of holding stocks when there is a change of holdings or the objectives of holding. Prior to the amendment, the objectives of holding stocks were divided into two categories: 'investment purposes only' and 'for affecting the management rights of an issuer'. Under the revised system, a new category, 'general investment', was introduced. It refers to situations where the investor does not aim to influence management but engages in active shareholder activities, such as shareholder engagement by institutional investors. According to the revision, if a large shareholder engages in such activities, the purpose of ownership must be updated from 'investment purposes only' to 'general investment' and disclosed within a specified period. For this

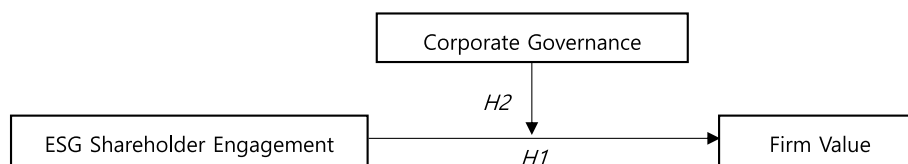


Figure 2. Research hypotheses.

reason, if an institutional investor reports a change in their holding objectives to ‘general investment’, it indicates an intention of engagement with the investee company, thereby making it feasible to use this as proxy data for shareholder engagement.

This study manually collected instances where large shareholders changed their purpose of holding stocks to ‘general investment’ from the ‘Report on Significant Holdings of Stocks, etc.’ disclosed on the Financial Supervisory Service’s electronic disclosure system (DART System) from 2020 onward and used this as a proxy for institutional investors’ ESG shareholder engagement data. However, while the disclosure allows for the identification of which investors engaged in shareholder activities with which companies and when, it does not provide details on the topics or success of the engagement. Therefore, this limits the ability to conduct a detailed analysis of shareholder engagement, as prior research has done.

As shown in Table 1, seven investors disclosed a change in holding purpose to ‘general investment’ during 2020 to 2023 period through the electronic disclosure system, with 217 companies. This study focuses on the analysis of the impact of ESG shareholder engagement on firm value, specifically for companies where the NPS, as an influential institutional investor with substantial holdings in domestic firms and a clear ESG shareholder engagement policy, has disclosed a change to ‘general investment’. Given the NPS’s disclosure of such changes and its established policy and processes regarding ESG engagement, this study considers the companies disclosed by the NPS as part of its ESG shareholder engagement data for analysis.

Firm-level data

Financial data was collected from FnGuide’s ‘DataGuide’, while corporate governance data was

obtained from the corporate governance ratings published annually by the Korea Institute of Corporate Governance and Sustainability (KCGS).

The KCGS, established in June 2002 as a subsidiary of the Korea Exchange, has been evaluating the corporate governance of listed companies in Korea since 2003. The KCGS evaluates and publicly discloses corporate governance ratings on a seven-point scale annually, utilizing publicly disclosed materials, media reports, sustainability reports, and data from government agencies. The corporate governance ratings from KCGS are derived from a comprehensive assessment of board leadership, shareholder rights protection, auditing, and stakeholder communication. This data has been used in numerous previous studies to represent the corporate governance quality of Korean companies (Cho and Chun 2016; Lee, Chung, and Morscheck 2020; Pae and Choi 2011).

Variables

Variable definitions are presented in Table 2. The dependent variable, Book to Market Ratio, is used as a proxy for firm value and is calculated by dividing the book value of total assets at the fiscal year-end by market capitalization. A lower book-to-market ratio indicates higher firm value (Beaver and Ryan 2000; Benlemlih, Jaballah, and Peillex 2018; Pontiff and Schall 1998). The independent variable, representing institutional investors’ ESG shareholder engagement, is defined by whether the NPS disclosed a change to ‘general investment’ in its stockholding purpose. If reported, it was coded as 1, and 0 otherwise. To examine how corporate governance influences the relationship between ESG shareholder engagement and firm value, the moderator variable is the corporate governance rating from KCGS. The seven

Table 1. Status of disclosure of change to ‘general investment’ purpose.

Reporting Entity	The Number of Companies				
	2020	2021	2022	2023	Total
National Pension Service	96	36	32	44	208
Scion Asset Management	1	1	1		3
Mirae Asset Global Investments				2	2
Caravan Capital Management	1				1
BioNote, Inc.		1			1
SDB Investment			1		1
Hwanghae Steel Co., LTD.	1				1
Total	99	38	34	46	217

Table 2. Definition of variables.

Variables		Definition	Data Source
Dependent Variable	<i>BTM</i>	Book-to-market ratio, calculated as the book value of total assets divided by market capitalization	DataGuide
Independent Variable	<i>ENG</i>	National Pension Service's ESG Shareholder Engagement Target Company (Yes = 1, No = 0)	DART
Moderating Variable	<i>GOV</i>	KCGS Corporate Governance Rating (S=6, A+=5, A=4, B+=3, B=2, C=1, D=0)	KCGS
Control Variables	<i>ROA</i>	Return on assets, measured as net income divided by total assets	DataGuide
	<i>LEV</i>	Leverage ratio, measured as total liabilities divided by total assets	
	<i>FOR</i>	Foreign ownership, measured as the percentage of shares held by foreign investors	
	<i>AGR</i>	Asset growth rate, calculated as the percentage change in total assets from year $t-1$ to year t	
	<i>SGR</i>	Sales growth rate, measured as the percentage change in sales from year $t-1$ to year t	
	<i>LQD</i>	Liquidity ratio, calculated as current assets divided by current liabilities	
	<i>EFF</i>	Asset turnover ratio, measured as sales divided by average total assets	
	<i>TA</i>	Firm size, measured as the natural logarithm of total assets	
	<i>AGE</i>	Firm age, measured as the number of days since establishment as of the end of 2023	
	<i>LOSS</i>	Net Loss (Yes = 1, No = 0)	
	<i>MKT</i>	Stock Exchange Market (KOSPI = 1, KOSDAQ = 0)	
	<i>YEAR</i>	Year Dummy	–
	<i>IND</i>	Industry Dummy	DataGuide

ratings (S, A+, A, B+, B, C, D) were scored as follows: 6 for S, 5 for A+, 4 for A, 3 for B+, 2 for B, 1 for C, and 0 for D. Additionally, control variables known to affect firm value were included (refer to Table 2 for the definitions of variables): ROA, Leverage Ratio, Foreign Ownership, Asset Growth Rate, Sales Growth Rate, Liquidity Ratio, Asset Turnover, Firm Size, Firm Age, Net Loss, and Listing Market (Benlemlih, Jaballah, and Peillex 2018; Choi and Park 2019; D'Amato and Falivena 2020; Husna and Satria 2019; Loderer and Waelchli 2010; Watanabe et al. 2013).

Empirical model

This study used panel data to examine the impact of institutional investors' ESG shareholder engagement on firm value, and to empirically analyse whether corporate governance moderates the relationship between ESG shareholder engagement and firm value.

A pooled ordinary least squares (OLS) model may suffer from omitted variable bias due to unobserved firm-specific characteristics. Random effects models were also considered; however, the Hausman test rejects the null hypothesis that unobserved firm effects are uncorrelated with the regressors. Accordingly, a fixed effects model is employed to control for time-invariant unobserved heterogeneity, consistent with prior ESG and firm value studies (Benlemlih, Jaballah, and Peillex 2018).

Year and industry fixed effects are included to control for macroeconomic shocks and industry-

specific trends. Standard errors are double-clustered by firm and year, to correct for heteroscedasticity and within-firm correlation. To ensure reliable results, the significance of the regression coefficients was evaluated using robust t -values.

The model for testing the first hypothesis ($H1$) is as follows:

$$BTM_{i,t+1} = \beta_0 + \beta_1 ENG_{i,t} + \beta_2 X_{i,t} + YEAR + IND \quad (1)$$

It examines whether the regression coefficient (β_1) is significantly negative for the Book to Market Ratio ($BTM_{i,t+1}$) of firm i in year $t+1$, given that the firm was selected for ESG shareholder engagement in year t . The dependent variable is a lagged variable to confirm the impact of ESG shareholder engagement, and $X_{i,t}$ represents the control variables for firm i in year t .

The model for testing the second hypothesis ($H2$) is as follows:

$$BTM_{i,t+1} = \beta_0 + \beta_1 ENG_{i,t} + \beta_2 GOV_{i,t} + \beta_3 ENG_{i,t} * GOV_{i,t} + \beta_4 X_{i,t} + YEAR + IND \quad (2)$$

It includes the interaction term ($ENG_{i,t} * GOV_{i,t}$) to test whether the coefficient of the interaction term (β_3) is significantly positive, indicating that the relationship between ESG shareholder engagement and firm value is amplified when corporate governance is weaker.

Endogeneity considerations

Potential endogeneity concerns remain. To address concerns about reverse causality, firm value is measured one year after ESG shareholder engagement. Firm fixed effects are included to account for time-invariant unobserved characteristics that may jointly affect engagement and firm value, and a comprehensive set of control variables is employed to capture observable determinants of firm valuation. Although these measures may help mitigate endogeneity concerns, they do not fully eliminate them. Accordingly, the results should be interpreted as conditional associations rather than causal effects.

IV. Results

Descriptive statistics and correlation coefficients

Table 3 presents the descriptive statistics of the variables used in this study. To minimize the impact of extreme or erroneous values on the analysis results, all variables except for the dummy variables and the scored corporate governance ratings were winsorized at the top and bottom 1% levels.

Table 4 shows the results of Pearson correlation analysis for the variables used in this study. The dependent variable, *BTM* shows a statistically significant positive correlation at the 1% level with *ROA*, firm size (*TA*), firm age (*AGE*), and listing market (*MKT*), and a statistically significant negative correlation with foreign ownership (*FOR*),

asset growth (*AGR*), and asset turnover (*EFF*) at the 1% level. The independent variable, *ENG*, shows a statistically significant positive correlation at the 1% level with corporate governance (*GOV*), *ROA*, foreign ownership (*FOR*), firm size (*TA*), and listing market (*MKT*), and a statistically significant negative correlation with asset turnover (*EFF*) and net loss (*LOSS*) at the 1% level. The moderating variable, *GOV*, shows a statistically significant positive correlation at the 1% level with *ROA*, foreign ownership (*FOR*), asset growth (*AGR*), Asset Turnover (*EFF*), and Firm Size (*TA*), and a statistically significant negative correlation with liquidity ratio (*LQD*), firm age (*AGE*), and net loss (*LOSS*) at the 1% level.

The correlation coefficients between most variables range from -0.5 to 0.5 , indicating that the assumption of independence for OLS regression analysis is met. Additionally, the VIF results, all below 3, confirm that there is little concern about multicollinearity.

Empirical results and discussion

ESG shareholder engagement and firm value

Institutional investors must fulfil their fiduciary duty by closely monitoring investee firms to maintain or enhance their value and actively exercising their shareholder rights. As ESG standards among internal and external stakeholders continue to strengthen, the impact of ESG on firm value has become increasingly significant. Accordingly, institutional investors, as part of their fiduciary duty,

Table 3. Descriptive statistics.

Variable	N	Mean	SD	Min	p25	p50	p75	Max
<i>BTM</i>	3,104	1.543	1.284	0.063	0.588	1.179	2.121	5.933
<i>ENG</i>	3,104	0.053	0.224	0	0	0	0	1
<i>GOV</i>	3,104	2.159	1.276	0	1	2	3	5
<i>ROA</i>	3,104	1.825	8.345	-34.560	-0.330	2.635	5.785	24.270
<i>LEV</i>	3,104	126.042	138.216	6.590	40.775	86.420	157.670	843.620
<i>FOR</i>	3,104	9.275	11.747	0.000	1.741	4.654	11.866	60.374
<i>AGR</i>	3,104	0.085	0.202	-0.359	-0.008	0.051	0.130	1.312
<i>SGR</i>	3,104	0.097	0.304	-0.610	-0.051	0.065	0.188	1.919
<i>LQD</i>	3,104	2.097	2.164	0.319	0.983	1.416	2.211	15.137
<i>EFF</i>	3,104	0.912	0.518	0.056	0.564	0.834	1.167	2.860
<i>TA</i>	3,104	20.496	1.549	17.524	19.425	20.258	21.382	24.700
<i>AGE</i>	3,104	9.429	0.710	6.667	9.025	9.696	9.916	10.350
<i>LOSS</i>	3,104	0.266	0.442	0	0	0	1	1
<i>MKT</i>	3,104	0.904	0.294	0	1	1	1	1

BTM: Book to Market Ratio (Total Equity / Market Value) *ENG*: National Pension Service's ESG Shareholder Engagement Target Company (Yes = 1, No = 0) *GOV*: KCGS Corporate Governance Rating (S=6, A+=5, A=4, B+=3, B=2, C=1, D=0) *ROA*: Return on Asset Ratio (Net Income / Average Total Asset) *LEV*: Debt to Equity Ratio (Total Liability / Total Equity) *FOR*: Foreign Holdings (%) *AGR*: Asset Growth Rate (Total Asset (t) / Total Asset (t-1)-1) *SGR*: Sales Growth Rate (Sales (t) / Sales (t-1)-1) *LQD*: Liquidity Ratio (Current Asset / Current Liability) *EFF*: Asset Turnover Ratio (Sale / Average Total Asset) *TA*: In (Total Asset) *AGE*: In (Days since establishment as of the end of 2023) *LOSS*: Net Loss (Yes = 1, No = 0) *MKT*: Stock Exchange Market(KOSPI = 1, KOSDAQ = 0).

Table 4. Correlation coefficients.

	BTM	ENG	GOV	ROA	LEV	FOR	AGR	SGR	LQD	EFF	TA	AGE	LOSS	MKT
BTM	1													
ENG	-0.0247	1												
GOV	0.00350	0.1964***	1											
ROA	0.0688**	0.0467***	0.1593***	1										
LEV	-0.0427**	0.0193	0.0164	-0.3028***	1									
FOR	-0.0545***	0.2886***	0.3059***	0.2151***	-0.1018***	1								
AGR	-0.0833***	0.0040	0.0600***	0.2648***	-0.0285	0.0431**	1							
SGR	-0.0265	-0.0235	0.0290	0.2037***	0.0556***	0.0105	0.4183***	1						
LQD	-0.0148	-0.0432**	-0.0582***	0.1474***	-0.3578***	0.0798***	-0.0092	-0.0532***	1					
EFF	-0.0793***	-0.0530***	0.0624***	0.2626***	0.0667***	-0.0047	0.2058***	0.2077***	-0.2206***	1				
TA	0.3254***	0.3570***	0.4739***	0.2109***	0.1729***	0.4513***	0.1052***	0.0774***	-0.1953***	-0.0135	1			
AGE	0.1874***	-0.0251	-0.2111***	-0.0343*	0.0025	-0.0851***	-0.0774***	-0.0260	-0.0205	-0.0315*	-0.0638***	1		
LOSS	-0.1180***	-0.0542***	-0.1394***	-0.6942***	0.2395***	-0.1901***	-0.1750***	-0.1559***	-0.1041***	-0.2331***	-0.2284***	0.0270	1	
MKT	0.2342***	0.0621***	-0.0360**	-0.0383**	0.0972***	-0.0508***	-0.1395***	-0.0722***	-0.1382***	0.1021***	0.1358***	0.1947***	-0.0247	1

*** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

should assess whether investee firms are effectively managing ESG factors closely related to firm value and conduct ESG shareholder engagement to effectively communicate investor expectations as shareholders.

Since the late 1990's, numerous studies have examined whether institutional investors' ESG shareholder engagement contributes to enhancing firm value, particularly in countries where shareholder capitalism has been well established. These studies have empirically demonstrated its positive effects. This study formulates and tests *H1* to address whether institutional investors' ESG shareholder engagement also influences firm value in the Korean market, where the importance of fiduciary responsibility has gained prominence relatively recently and where an exceptionally large institutional investor exists due to the unique structure of the National Pension System.

Table 5 presents the results of the OLS regression analysis. The results of Model 1 indicate that the NPS's ESG shareholder engagement is positively associated with firm value at the 1% significance level. Given the one-year lag between the independent and dependent variables, firms targeted for ESG shareholder engagement by the NPS in year t exhibited improved firm value by the end of year $t + 1$. This supports the argument of Bénabou and Tirole (2006), Baron (2008) and Barko, Cremers, and Renneboog (2022). This finding suggests that, ESG shareholder engagement by influential institutional investors in Korea enhances managerial awareness, improves firms' responsiveness to ESG-related risks and opportunities, and increases their attractiveness to other investors, ultimately contributing to firm value enhancement.

Table 5. Regression analysis results.

Variables	Expected Sign	BTM _{t+1}	
		Model 1 Coeff. (Robust <i>t</i> -statistics)	Model 2 Coeff. (Robust <i>t</i> -statistics)
ENG	–	–0.49416*** (–4.85253)	–1.46156*** (–4.84594)
GOV	–		–0.07798*** (–3.35980)
ENG*GOV	+		0.21876** –2.42094
ROA	–	–0.00562* (–1.70068)	–0.00208 (–0.50132)
LEV	+	–0.00067*** (–2.62940)	–0.00119*** (–5.95293)
FOR	–	–0.01902*** (–7.71563)	–0.02430*** (–10.27852)
AGR	–	–0.18579 (–1.61294)	–0.43394*** (–3.36495)
SGR	–	0.14539* –1.86069	0.25031*** –2.91189
LQD	–	0.05039*** –4.89274	0.02191* –1.78243
EFF	–	–0.30052*** (–5.78962)	–0.18659*** (–3.65126)
TA	–	0.34101*** –15.60992	0.44304*** –20.74122
AGE	+	0.18860*** –6.56581	0.26386*** –7.66508
LOSS	+	–0.20729*** (–3.12731)	–0.29265*** (–3.89033)
MKT		0.26956*** –4.1092	0.57436*** –7.24658
Constant		–6.86614*** (–12.30594)	–9.64352*** (–18.30675)
Observations		2,345	2,345
Adjusted R-squared		0.41911	0.26003
Year fixed effect		Yes	Yes
Industry fixed effect		Yes	Yes

*** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

The moderating role of corporate governance on the relationship between ESG shareholder engagement and firm value

Corporate governance can be broadly categorized into internal governance, which consists of the board of directors, general shareholders' meetings, and management, and external governance, which includes institutional investors and other stakeholders. According to the OECD Principles on Corporate Governance, stakeholders should have the opportunity to seek effective redress if their rights are violated, be encouraged to participate in corporate governance to enhance firm performance, and recognize the significant role of institutional investors in governance. In this context, institutional investors, as part of the broader corporate governance framework, can complement internal governance mechanisms.

As discussed in previous studies, firms with strong corporate governance structures are likely to have already made significant efforts to enhance their ESG performance. This suggests that the impact of institutional investors, as part of the external governance framework, may be relatively limited in such firms. This study examines whether institutional investors can play a complementary role in firms with weaker corporate governance and whether corporate governance quality moderates the effect of ESG shareholder engagement on firm value. Specifically, it investigates whether firms with weaker corporate governance experience a stronger impact from institutional investors' ESG engagement, leading to more effective ESG implementation. To address this question, *H2* is formulated and tested.

The results of Model 2 support the moderating effect of corporate governance on the relationship between the NPS's ESG shareholder engagement and firm value at the 5% significance level. The regression coefficient of the interaction term is 0.21876, indicating that as the corporate governance rating increases, the positive relationship between *ENG* and *BTM* weakens. Conversely, when the corporate governance rating is lower, this positive relationship is strengthened. The moderating effect of corporate governance is more clearly illustrated in Figure 3. Firms with the lowest corporate governance rating exhibit a steeper slope compared to those with the highest rating, indicating that the positive impact of ESG shareholder engagement on firm value is more pronounced in firms with weaker corporate governance structures.

Contributions

This study makes several important theoretical contributions to the literature on ESG, shareholder engagement, and corporate governance.

First, this study advances the ESG literature by shifting the focus from ESG performance outcomes to ESG shareholder engagement as a governance mechanism. While a large body of prior research examines whether firms with superior ESG performance enjoy higher firm value, considerably less attention has been paid to how investors actively shape firms' ESG practices and how such engagement affects firm value. By empirically demonstrating that ESG shareholder engagement by an influential institutional investor enhances firm value, this study provides direct evidence that

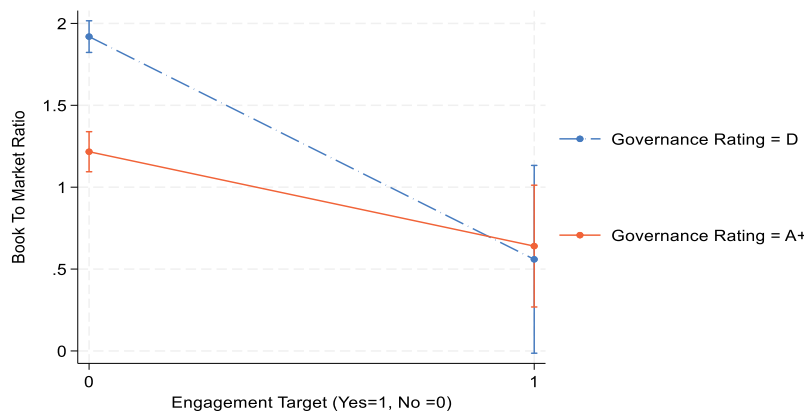


Figure 3. The moderating role of corporate governance.

ESG engagement itself – rather than ESG performance alone – constitutes a value-relevant mechanism.

Second, drawing on stakeholder theory, this study contributes to the theoretical understanding of how ESG shareholder engagement influences firm value. Consistent with the managerial perspective of stakeholder theory, the findings suggest that institutional investors' ESG engagement increases managerial attention to stakeholder-related risks and expectations, thereby improving firms' ability to manage ESG-related risks and opportunities. This extends stakeholder theory by highlighting institutional investors as active governance agents who influence managerial decision-making beyond traditional monitoring roles.

Third, and most importantly, this study contributes to the corporate governance literature by identifying corporate governance quality as a key boundary condition in the ESG engagement – firm value relationship. The results show that the positive effect of ESG shareholder engagement on firm value is significantly stronger when internal corporate governance quality is weak. This finding provides novel evidence that ESG shareholder engagement functions as a substitute external governance mechanism, complementing insufficient internal governance structures. By explicitly modelling this moderating effect, the study moves beyond average treatment effects and offers a more nuanced theoretical understanding of when and where ESG shareholder engagement is most effective.

Together, these contributions enrich the literature by integrating ESG shareholder engagement, stakeholder theory, and corporate governance into a unified framework that explains how and under what conditions investor-driven ESG engagement creates firm value.

V. Conclusion

Following the financial crisis, discussions on institutional investors' fiduciary responsibilities have expanded, particularly regarding their role in monitoring whether investee companies are properly managing ESG factors that affect financial performance. When companies fail to meet ESG standards, institutional investors engage with them to

improve ESG performance and enhance firm value. This study explores the relationship between ESG shareholder engagement by the NPS, a major institutional investor in Korea, and firm value, using data from companies listed on the KOSPI and KOSDAQ from 2020 to 2023. An OLS regression with fixed effects is conducted, including year and industry dummies. The study also examines whether corporate governance quality moderates the ESG engagement–firm value relationship.

The analysis found a significant positive relationship between the NPS's ESG engagement and firm value, especially when corporate governance quality is low. Based on these findings, this study draws the following conclusions. First, in the Korean market, the ESG shareholder engagement of influential institutional investors can improve a company's management of ESG-related risks and opportunities, thereby enhancing business performance and stock returns, ultimately leading to an increase in firm value. Second, institutional investors can monitor corporate ESG practices from the outside and address significant ESG issues, thereby playing a role in complementing the governance structure of companies with weak internal governance. As such, ESG shareholder engagement in companies with low-quality corporate governance may be particularly effective in enhancing firm value.

This study holds significance as the first to empirically analyse the impact of the ESG shareholder engagement of the NPS, a key shareholder in Korea, on firm value through improvements in corporate ESG management, based on stakeholder theory. Additionally, it examines how corporate governance quality moderates the effect of ESG shareholder engagement on firm value. The findings reaffirm that institutional investors, beyond their fiduciary duty, should recognize the necessity of ESG shareholder engagement from a profitability perspective as well.

Given that this study focuses on the National Pension Service and the Korean capital market, the findings offer several practical and policy implications.

For institutional investors, the results suggest that ESG shareholder engagement should be viewed not only as a fiduciary obligation or ethical practice, but also as a value-enhancing investment

strategy. Particularly in firms with weak governance, proactive ESG engagement can improve firm value and reduce long-term risk exposure.

For corporations, the findings imply that ESG shareholder engagement by institutional investors should not be interpreted solely as external pressure. Instead, firms – especially those with weaker governance – may benefit from engaging constructively with institutional investors to improve ESG management and long-term value creation.

For policymakers, the study highlights the importance of institutional frameworks that facilitate effective ESG shareholder engagement. Enhancing ESG disclosure requirements and ensuring transparency in shareholder engagement activities can improve the effectiveness of stewardship codes and strengthen market discipline. In the Korean context, policies that support institutional investors' engagement activities can serve as an indirect tool to improve corporate governance and ESG practices without imposing excessive regulatory burdens on firms.

This study has several limitations that provide avenues for future research.

First, due to data constraints, ESG shareholder engagement is proxied using publicly disclosed engagement activities by the NPS for firms in which it holds at least 5% ownership. As most ESG engagements are conducted privately, the sample may not capture the full extent of engagement activities, potentially limiting generalizability.

Second, the relatively short sample period (2020–2023) restricts the ability to examine long-term effects of ESG shareholder engagement. Future studies could utilize longer time horizons as more data become available.

Third, this study focuses on firm value as the primary outcome variable and does not empirically examine intermediate mechanisms such as changes in ESG performance or operational efficiency. Future research could explore these channels directly to further unpack how ESG shareholder engagement translates into firm value.

Finally, while this study focuses on a dominant public pension fund in Korea, future research could examine whether similar governance substitution effects arise in other institutional settings or among different types of institutional investors.

Author contributions

CRedit: **Jihyun Lee:** Writing – original draft; **Doowoo Nam:** Writing – review & editing.

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Data availability statement

Data sharing is not available for this article.

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